WELLS FARGO ADVISORS

2013 Retirement Plan Maximum Benefit and Contribution Limits*

Following is an overview of retirement plans and their maximum benefit and contribution limits. Use the table and definitions to help compare plan features and limits.

	2013
Elective deferrals	
401(k), 403(b) and existing SAR-SEPs, 402(g)	$17,500
SIMPLE plans 408(p)(2)(E)	$12,000
457(b) plans 457(e)(15)	$17,500
Annual contribution limit	$51,000
Annual compensation limit	$255,000
Highly compensated threshold	$115,000
Top-heavy plan key employee compensation	$165,000
Income subject to Social Security	$113,700
SEP coverage	$550
Catch-up contributions	
401(k), 403(b), 457 and existing SAR-SEP	$5,500
SIMPLE catch-up contributions	$2,500
Annual benefit limit	$205,000

For additional information, please see definitions on page 2.

** Subject to annual cost-of-living adjustments.*

You can count on us

Choosing from the different types of defined-contribution plans is an important decision for any business. Your Financial Advisor has the expertise and resources to help you match the right plan with your needs and objectives.

Elective deferral limit is the maximum contribution that can be deferred on a pretax basis to 401(k), 403(b), existing SAR-SEP plans, SIMPLE plans and 457(b) plans. Non-pretax Roth 401(k) and Roth 403(b) are governed by the same limits.

Annual contribution limit is the maximum contribution that can be made to a participant's account (IRC section 415). This limit is actually expressed as the lesser of the annual contribution limit on the previous page or 100% of the participant's compensation, applied to the combination of employee contributions, employer contributions and reallocated forfeitures to a participant's account.

In calculating allocations, a plan cannot consider any employee compensation in excess of the **annual compensation limit** [401(a)(17)]. This compensation limit is also imposed in defined-benefit-plan contribution calculations. In calculating certain nondiscrimination tests (such as the actual deferral percentage), a participant's compensation is limited to this amount for purposes of the calculations.

Highly compensated threshold [IRC section 414(q)(1)(B)] is the minimum compensation level defined to determine highly compensated employees for purposes of nondiscrimination testing.

The Economic Growth and Tax Relief Reconciliation Act of 2001 (EGTRRA) added the top-heavy plan key employee compensation limit.

Income subject to Social Security is the maximum taxable-wage base for calculating an individual's Social Security deduction.

SEP coverage limit is the minimum earnings level for defining a year of service in a Simplified Employee Pension plan (a special individual retirement account to which you make direct tax-deductible contributions).

Catch-up contributions were established under the EGTRRA. Eligible individuals age 50 or over can make "catch-up" contributions above and beyond the annual contribution limit. Special catch-up provision rules apply to 403(b) and 457 plans.

Annual benefit limit is the annual retirement payout from a defined benefit plan (or 100% of average pay for the high three years).

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